

Breakout direction. I checked how often price broke out upward or downward from rectangles and they are shown in the table. Rectangle tops prefer to break out upward, even in bear markets (which should be a surprise).

Yearly position, performance. Where do the best performing rectangle tops reside? Those within a third of the yearly low perform better than the other two thirds. Consult the table for the range you should avoid trading; it varies depending on market conditions and breakout directions.

Throwbacks and pullbacks. Throwbacks and pullbacks occur about two-thirds of the time, and it takes price an average of 6 days before the price trend reverses and heads back to the breakout. In 11 or 12 days, total, the stock completes the round-trip.

Table 52.3 Cumulative Failure Rates

Maximum Price Rise or Decline (%)	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout
5 (breakeven)	146 or 15%	26 or 15%	194 or 34%
10	115 or 28%	30 or 33%	109 or 54%
15	70 or 35%	23 or 46%	83 or 68%
20	52 or 41%	20 or 58%	62 or 79%
25	55 or 46%	11 or 64%	39 or 86%
30	59 or 53%	17 or 74%	20 or 90%
35	37 or 57%	11 or 81%	23 or 94%
50	117 or 69%	15 or 89%	25 or 98%
75	95 or 79%	9 or 95%	10 or 100%
Over 75	199 or 100%	9 or 100%	1 or 100%